

U.S. DEPARTMENT OF AGRICULTURE
WASHINGTON, D.C. 20250

DEPARTMENTAL MANUAL	NUMBER: DM 1260-001
SUBJECT: Legislative Reports and Proposals	DATE: May 27, 2021
OPI: Office of Budget and Program Analysis	EXPIRATION DATE: May 27, 2026

<u>Section</u>	<u>Page</u>
1. Purpose	1
2. Special Instructions/Cancellations	2
3. Scope	2
4. Background	2
5. Policy	2
6. What is a Legislative Report?	3
7. Who Requests Legislative Reports?	3
8. Legislative Report Clearance and Procedures Steps	3
9. Exemptions	5
10. Roles and Responsibilities	6
11. Legislative Proposals	8
12. Inquiries	9
Appendix A – Acronyms and Abbreviations	A-1
Appendix B – Definitions	B-1
Appendix C – Authorities and References	C-1
Appendix D – Sample Enrolled Bill Letter	D-1
Appendix E – Sample Legislative Proposal	E-1

1. PURPOSE

This United States Department of Agriculture (USDA) Departmental Manual (DM) provides instructions on the preparation, review and clearance of the various types of legislative reports in support of Office of Management and Budget (OMB) Circular No. [A-19](#), *Legislative Coordination and Clearance*, on legislative coordination and clearance. All individuals who prepare, review, or clear legislative reports must follow these instructions.

2. SPECIAL INSTRUCTIONS/CANCELLATIONS

This manual replaces the previous manual, DM 1260-001, *Legislative Reports and Proposals*, dated April 12, 2002.

3. SCOPE

This DM applies to all USDA Mission Areas, agencies, and staff offices.

4. BACKGROUND

OMB performs legislative coordination and clearance functions to:

- a. Assist the President in developing a position on legislation;
- b. Make known the Administration's position on legislation;
- c. Assure appropriate consideration of the views of all affected Federal agencies and departments; and
- d. Assist the President with respect to action on enrolled bills.

USDA's Office of Budget and Program Analysis-Legislative and Regulatory Affairs Staff (OBPA-LRAS) is responsible for this function in coordination with the Office of Congressional Relations (OCR).

5. POLICY

- a. USDA Mission Areas, agencies, and staff offices will use this manual for detailed instructions on the preparation, review, and clearance of the various types of legislative reports under OMB's purview.
- b. Moreover, this manual supports OMB's legislative coordination and clearance oversight role of the Executive Branch in the most efficient, effective, and timely manner, and to ensure that USDA speaks with "one voice."
- c. While process should not impede results, release of USDA legislative reports outside of official review channels is not permitted. Accordingly, any questions on the status of legislative reports should be referred to OBPA-USDA-LEG@usda.gov.
- d. Finally, this DM ensures that roles and responsibilities within USDA are clear.

6. WHAT IS A LEGISLATIVE REPORT?

A legislative report is any written expression of official USDA position, including edits, on a bill or draft legislation, another Federal agency's position on a bill, report to Congress, legislative proposal, or testimony, and executive orders. Legislative reports serve to initiate discussions about legislation and certain proposed administrative actions and also aid the administration in developing a unified position.

7. WHO REQUESTS LEGISLATIVE REPORTS?

a. OMB.

OMB requests USDA's views on a wide range of legislative and executive office documents such as bills, other Federal agencies' views on bills, agency reports to Congress, executive orders, and testimony. These documents address issues that affect, or have the potential to affect, USDA or USDA programs. OMB submits these requests, or Legislative Referral Memorandums (LRM), to OBPA-USDA-LEG@usda.gov.

b. Congress.

Members of Congress and committees request USDA's views on draft legislation or on an introduced bill. These requests are often "snail" mailed, emailed, or both. As these direct Congressional requests often involve correspondence, the Office of the Executive Secretariat (OES) coordinates these requests for USDA while OMB serves in a clearinghouse role.

c. USDA.

USDA Mission Areas, agencies, or staff offices may sometimes request a voluntary report. Determining the necessity for a voluntary report is the responsibility of each Mission Area, agency, or staff office working with OCR and OBPA-LRAS.

8. LEGISLATIVE REPORTS CLEARANCE AND PROCEDURES STEPS

a. LRMs (except testimony; see Note 1)

OBPA-LRAS coordinates LRM requests. Accordingly, the following sequential steps are required:

- (1) OBPA-LRAS reviews the request, assigns the lead Mission Area, agency, or staff office, and identifies any other Mission Area, agency, staff office, or USDA entity that may have a substantive interest in the request. The request is entered into a

tracking database and emailed to the Mission Areas, agency, and staff offices with instructions for commenting and due date.

- (2) The Mission Area, agency, or staff office drafts the response, and emails the response back to OBPA-LRAS.
- (3) Office of the General Counsel (OGC). OBPA-LRAS emails the draft Mission Area, agency, or staff office response to OGC's General Law and Research Division for legal sufficiency review and clearance.
- (4) Departmental Reviewers. OBPA-LRAS emails the response to the following reviewers concurrently:
 - (a) OBPA-Program Analysis Staff – to ensure consistency with program, policy, and budgetary objectives;
 - (b) OCR;
 - (c) Mission Area; and
 - (d) OES (only if a formal views letter is required; see Note 2).
- (5) Office of the Secretary (OSEC). OBPA-LRAS submits the response to OSEC for final policy-level approval prior to submission to OMB. See Section 9 on Exemptions.
- (6) OMB. OBPA-LRAS submits the cleared USDA response to the OMB lead LRM desk officer. A copy of the response is provided to OCR and the Mission Area chief of staff.

Note 1 – Testimony. LRMs on Congressional testimony, follow-up questions and answers (Q and A's) to hearings, and Statements of Administration Policy (SAP) are coordinated by OCR.

Note 2 – Formal Views Letters. Formal views letters to OMB are less frequent than emailed response comments due to OMB deadlines and other efficiency considerations; however, some LRMs will require a signed USDA views letter. Typically, the necessity for a formal views letter will be clear such as for a major Farm Bill reauthorization, enrolled bill, or other legislation where USDA is the lead or primary Federal stakeholder. In such instances, OBPA-LRAS can provide Mission Areas, agencies, and staff offices with sample views letters and guidance. When clearing LRMs requiring a formal views letter, OES must be added per Section 8a(4), *Departmental Reviewers*.

- b. Congressional requests.

Congressional committees and staff offices often request USDA views on pending bills or draft legislation. These requests are mailed, emailed, or both, often to the Secretary of Agriculture. Accordingly, such correspondence is coordinated by OCR. OMB approval is required before any signed USDA response letter can be transmitted back to Congress. The steps are as follows:

- (1) OCR receives request; facilitates the drafting and clearance process;
- (2) Agency – Drafts the views letter;
- (3) Departmental Clearance to include:
 - (a) OGC;
 - (b) OBPA; and
 - (c) OCR.
- (4) OSEC approves the draft letter for submittal to OMB;
- (5) OMB approves the proposed USDA letter;
- (6) OES obtains the Secretary's signature on the letter; and
- (7) Congress – OCR transmits the signed views letter to Congress.

9. EXEMPTIONS

The following categories of responses are exempt from OSEC clearance should the legislative referral be unrelated to the programs administered by USDA, or have no direct impact or has a limited impact on agriculture or rural communities:

- a. No comment;
- b. No objection;
- c. Defer to another Department;
- d. No impact;
- e. Support for the release of routine documents providing only programmatic information and do not contain policy recommendations or guidance;
- f. Minor comment, correction, or edit; and

- g. No additional comments in cases where USDA has previously reviewed the document, provided comments, and those comments are addressed in the revised document being circulated by OMB.

10. ROLES AND RESPONSIBILITIES

a. Mission Area, Agency, and Staff Office Heads will:

- (1) Prepare a draft Legislative Report response (these can include “no comment,” “concur,” and “no objection” responses);
- (2) Identify any other Mission Areas, agencies, and staff offices with interest in the Legislative Report;
- (3) Mark-up other Federal agency reports as needed;
- (4) Avoid contacting OMB and Congress directly without approval;
- (5) Inform OCR of all direct requests for reports received directly from Congress;
- (6) Request an extension from the OBPA lead analyst if additional time is needed to prepare response; and
- (7) Consult with OGC when preparing a draft Legislative Report when provisions in a report involve pending litigation that USDA is involved or interested in.

b. The Director, OBPA, will:

- (1) Assign lead Mission Area, agency, or staff office and due date on LRMs and coordinate and clear USDA response;
- (2) Ensure that all other potentially impacted USDA Mission Areas, agencies, staff offices, and views are accounted for;
- (3) Assist and guide Mission Areas, agencies, and staff offices with drafting responses as needed (including views letters);
- (4) Ensure that all Legislative Reports are consistent with program, policy, and budgetary objectives;
- (5) Ensure proper submission requirements, including timeliness, formatting;
- (6) Send bills of interest to other USDA Mission Areas, agencies, and staff offices as needed and copies OCR on all final dispositions to OMB;

- (7) Track and maintain complete records for all LRMs, including final disposition;
 - (8) Coordinate annual OMB expiring law requests;
 - (9) Identify Legislative Proposals; and
 - (10) Transmit signed formal views letters to OMB when one is required.
- c. OSEC will:
- (1) Review and provide final policy-level approval for LRM responses prior to submittal to OMB; and
 - (2) Review and provide final approval for draft Congressional Request letters prior to submittal to OMB.
- d. The General Counsel will review legislative reports for legal sufficiency including:
- (1) The interpretation of relevant statutes and Congressional intent;
 - (2) The effect of provisions of existing law, pending litigation that USDA is involved or interested in, or pending rulemakings, if relevant;
 - (3) The legal implications of enactment or of recommended changes;
 - (4) Whether the legislation as drafted reflects the policy intention of USDA expressed in the report; and
 - (5) Whether the report is responsive, in proper format, and cleared by appropriate Mission Areas, agencies, and staff offices, and consistent with USDA policy.
- e. The Director, OCR, will:
- (1) Monitor all direct requests for reports received from Congress;
 - (2) Coordinate USDA responses to incoming Congressional request correspondence;
 - (3) Facilitate the drafting and clearance process for Congressional requests;
 - (4) Work with the Mission Areas, agencies, staff offices, and OBPA-LRAS to determine the necessity for a voluntary report;
 - (5) Coordinate LRMs on Congressional testimony, follow-up Q and A's to hearings, and SAPs;

- (6) Provide policy-level review and clearance for draft LRM and Congressional request responses;
 - (7) Obtain the Secretary's signature through OES on Congressional request response letters;
 - (8) Transmit signed views letters to Congress; and
 - (9) Maintain copies of all final dispositions sent to OMB.
- f. The Executive Secretary to the Department or the Director, OES, will:
- Provide reviews and clearance for formal views letters.
- g. USDA Policy Official Review.
- All Legislative Reports must have some form of policy-level review and approval. These can include:
- (1) OCR;
 - (2) Mission Area(s); and
 - (3) OSEC.

11. LEGISLATIVE PROPOSALS

Each year USDA prepares and submits a budget in accordance with the President's Federal budget release in February. These annual budget submissions often include descriptions of proposed legislation in support of the budget. Accordingly, the responsible USDA Mission Area, agency, or staff office is responsible for preparing and submitting any follow-on legislative proposal described in the budget within the agency's program area. OBPA, in consultation with the OCR, will alert Mission Areas, agencies, and staff offices of the need to prepare such proposals. USDA organizations may also develop legislative proposals separately from the annual budget process. Like for Congressional Requests in Section 8b, OBPA will clear the legislative proposal through the Department. After Departmental approval, all legislative proposals are subject to review and approval by OMB. Only upon OMB approval can a legislative proposal be transmitted to Congress. Typically, upon the need for a legislative proposal:

- a. OGC will assist Mission Areas, agencies, and staff offices in drafting legislation for USDA. Mission Areas, agencies, and staff offices should consult with OGC and the Office of the Assistant Secretary for Civil Rights (OASCR) in drafting legislative proposals.

b. Contents of a Legislative Proposal (see example package in Appendix E):

- (1) A transmittal letter to the Speaker of the House;
- (2) A transmittal letter to the President of the Senate;
- (3) The proposed legislation; and
- (4) Section-by-section analysis.

12. INQUIRIES

Direct all inquiries to the Legislative and Regulatory Affairs Staff Division in the Office of Budget and Program Analysis OBPA-USDA-LEG@usda.gov.

-END-

APPENDIX A

ACRONYMS AND ABBREVIATIONS

CFR	Code of Federal Regulations
DM	Departmental Manual
DR	Departmental Regulation
LRAS	Legislative and Regulatory Affairs Staff
LRM	Legislative Referral Memorandum
OASCR	Office of the Assistant Secretary for Civil Rights
OBPA	Office of Budget and Program Analysis
OCR	Office of Congressional Relations
OES	Office of the Executive Secretariat
OGC	Office of the General Counsel
OMB	Office of Management and Budget
OSEC	Office of the Secretary
Q & A's	Questions and Answers
SAP	Statements of Administration Policy
USDA	United States Department of Agriculture

APPENDIX B

DEFINITIONS

Agency. Organizational units of the Department, other than staff offices as defined below, whose heads report to officials within the Office of the Secretary, Deputy Secretary, Under Secretaries, Assistant Secretaries, and Assistant to the Secretary. (Source: USDA, Departmental Regulation [\(DR\) 0100-001](#), *Departmental Directives System*)

Enrolled Bill. A bill or resolution that has passed both houses of Congress and is awaiting presidential action. (Source: OMB, [Circular No. A-19](#), *Legislative Coordination and Clearance*)

Expiring Law. A list of laws or provisions that will expire in the coming year with an explanation of the consequences the expiration may have, and possibly a statement regarding whether the relevant agency supports a reauthorization. (Source: OMB, Circular No. A-19)

Legislative Proposal. A legislative proposal requests Congress to enact a change in law and explains the rationale for such change. It consists of two identical letters, one addressed to the President of the Senate and the other to the Speaker of the House. The letters must enclose draft legislation. (Source: OMB, Circular No. A-19)

Legislative Report. Any written expression of official USDA position, including edits, on a bill or draft legislation, another agency's position on a bill, report to Congress, legislative proposal, or testimony, and executive orders. (Source: OMB, Circular No. A-19)

Mission Area. A group of agencies with related functions that report to the same Under or Assistant Secretary. Research, Education, and Economics (REE) is an example of a Mission Area. (Source: USDA, DR 0100-001)

Staff Office. Departmental administrative offices whose heads report to officials within the Office of the Secretary. (Source: USDA, DR 0100-001)

APPENDIX C

AUTHORITIES AND REFERENCES

7 Code of Federal Regulations ([CFR](#)) [§ 3100](#), *Cultural and Environmental Quality*

This CFR part discuss the requirements for environmental assessments and impact statements prepared by an agency regarding legislative proposals

40 CFR, Chapter V, Subchapter A, *National Environmental Policy Act Implementing Regulations*, [§§ 1500-1508](#)

These CFR parts discuss the requirements for environmental assessments and impact statements prepared by a Federal agency regarding legislative proposals.

Executive Order [12988](#), *Civil Justice Reform*, February 5, 1996

This executive order specifies requirements for agencies in developing legislative proposals in order to minimize litigation.

Executive Order [13132](#), *Federalism*, August 4, 1999

This executive order requires that agencies draft its regulations, legislative comments or proposed legislation consistent with the principles of Federalism.

OMB, Circular No. [A-11](#), *Preparation, Submission, and Execution of the Budget*, December 23, 2020

This circular provides instructions for the preparation of annual estimates, including requirements for those estimates for which additional authorizing legislation is required for the budget year.

OMB, Circular No. [A-19](#), *Legislative Coordination and Clearance*, September 20, 1979

This circular outlines procedures for the coordination and clearance by OMB of Federal agency recommendations on proposed, pending and enrolled legislation. It also includes instructions on the timing and preparation of Federal agency legislative programs and legislative proposals.

USDA, [DR 0100-001](#), *Departmental Directives System*, January 4, 2018

USDA, [DR 1512-001](#), *Regulatory Decisionmaking Requirements*, March 14, 1997

This Departmental Regulation has requirements pertaining to the preparation of Regulatory Impact Analyses for legislative proposals expected to have a major impact in terms of Federal or non-Federal costs or burdens.

USDA, [DR 4300-004](#), *Civil Rights and Impact Analysis*, October 17, 2016

This Departmental Regulation has requirements pertaining to the preparation of a Civil Rights Impact Analysis that may be required for legislative proposals under this directive.

APPENDIX D

SAMPLE ENROLLED BILL LETTER

The Honorable Russell Vought
Acting Director
Office of Management and Budget Washington, D.C. 20503
Dear Acting Director Vought:

This letter is in response to your request of June 4, 2019, for the views of the U.S. Department of Agriculture (USDA) on the enrolled bill, S. 1379, titled "Pandemic and All-Hazards Preparedness and Advancing Innovation Act of 2019."

USDA supports passage of the enrolled bill.

The bill reauthorizes and expands upon programs created under the Public Health Service Act and the Federal Food, Drug, and Cosmetic Act. Notably, for USDA, the bill would raise the profile and importance of plant and animal diseases, including zoonotic diseases, by adding them as a priority under the National Health Security Strategy. Other sections of the bill, such as Section 205, would also strengthen our capabilities by including agriculture in planning, response, and research activities. Additionally, Section 402 includes USDA as a member of the Public Health Emergency Medical Countermeasures Enterprise, allowing for our direct engagement in identifying national health security needs; and Section 607 includes USDA's research on novel and improved integrated management technologies for mosquito abatement.

The bill would also allow the U.S. Department of Health and Human Services to continue to operate the Presidential Advisory Council on Combating Antibiotic-Resistant Bacteria, which provides advice, information, and recommendations regarding programs and policies intended to support and evaluate the implementation of U.S. Government activities related to combating antibiotic-resistant bacteria.

Thank you for the opportunity to provide USDA's comments.

Sincerely,

Stephen Censky
Deputy Secretary

APPENDIX E

SAMPLE LEGISLATIVE PROPOSAL

The Honorable Paul D. Ryan, Speaker
U.S. House of Representatives
The Capitol
Washington, D.C. 20515

Dear Mr. Speaker:

I am transmitting, for the consideration of the Congress, this enclosed draft legislation, “To authorize the Secretary of Agriculture to collect fees for service for programs related to the licensing of products under the Virus-Serum-Toxin Act, the costs of compliance inspections and licensing and registration services provided under the Animal Welfare Act, and for the regulation of biotechnology-derived products.”

The Department of Agriculture (USDA) recommends that the draft legislation be introduced and enacted.

The fiscal year 2017 budget includes these three user fee proposals for programs within the purview of the Animal and Plant Health Inspection Service (APHIS) of USDA, as outlined below.

Veterinary Biologics User Fees

Under the authority of the Virus-Serum-Toxin Act, APHIS regulates veterinary biologics (vaccines, bacterins, antisera, diagnostic kits, and other products of biological origin) to ensure that those products produced in or imported into the United States are not “worthless, contaminated, dangerous, or harmful.” APHIS’ licensing activities allow manufacturers to market their products. APHIS reviews license applications for production facilities and biological products, and operates a compliance and inspection program to ensure that its regulations are met. Under this proposal, APHIS would amend its current authority to allow the collection of a user fee that would supplement Agency appropriations to enhance the services it provides. This fee would enable APHIS to continually adjust its resources to match the workload generated by industry, which has steadily increased production and product development. Industry would directly benefit through the reduction in time required to receive a license, which would allow industry to recover the cost of product development faster. In addition, the fee would better position APHIS to approve biologics during an animal health emergency.

Animal Welfare User Fees

APHIS carries out activities designed to ensure the humane care and treatment of animals covered under the Animal Welfare Act (AWA). These activities include licensing and inspection

of certain establishments that handle animals intended for biomedical research, sold as pets, transported in commerce, or used for exhibition purposes. Regulated entities already pay minimal fees for licenses, but these fees do not cover the full costs of the activity or the cost of the inspection. This proposal would establish a new user fee that would offset a portion of the appropriation for the enforcement of the AWA.

Biotechnology Regulatory User Fees

Under the authority of the Plant Protection Act, APHIS regulates the introduction – meaning the importation, interstate movement, and field-testing – of organisms derived through biotechnology that may pose a plant pest risk. As part of this process, APHIS may issue authorizations allowing specific activities and testing under appropriate confinement conditions that protect plant health. APHIS operates a compliance and inspection program to ensure developers meet these conditions during field trials, importation and interstate movement. APHIS also evaluates petitions the Agency receives to deregulate products the agency has determined do not pose a plant health risk. This proposal would establish a new user fee that would supplement appropriations for the regulation of biotechnology derived products. The user fee would finance activities related to the compliance management and inspection of those products under Agency purview, as well as to supplement resources for the petition review process.

The effect of these three proposed user fees on the deficit would be:

	Fiscal Year (dollars in millions)										
Net Deficit Impact	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	Total
	-20	-27	-27	-28	-29	-30	-31	-32	-33	-34	-291

The Statutory Pay-As-You-Go Act of 2010 (PAYGO) provides that revenue and direct spending legislation cannot, in the aggregate, increase the on-budget deficit. If such legislation increases the on-budget deficit and that increase is not offset by the end of the Congressional session, a sequestration must be ordered. This proposal would reduce direct spending and is therefore in compliance with the Statutory PAYGO Act.

The Office of Management and Budget advises that there is no objection to the presentation of this proposed legislation and that its enactment would be in accord with the Administration's program.

An identical letter has been sent to the President of the Senate.

Sincerely,

Thomas J. Vilsack

Secretary

Enclosure

A BILL

To authorize the Secretary of Agriculture to collect fees for service for programs related to the licensing of products under the Virus-Serum-Toxin Act, the costs of compliance inspections and licensing and registration services provided under the Animal Welfare Act, and for the regulation of biotechnology-derived products.

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

TITLE I – USER FEE FOR LICENSING AND INSPECTION OF PRODUCTS UNDER THE VIRUS-SERUM-TOXIN ACT

SEC. 101.-USER FEE TO COVER THE COSTS OF LICENSING AND INSPECTION SERVICES PROVIDED UNDER THE VIRUS-SERUM-TOXIN ACT

The Virus-Serum-Toxin Act, (21 U.S.C. 151 et seq.) is amended by adding a new section 160 that reads as follows:

“Sec. 160.-VIRUSES, SERUMS, TOXINS, and ANALOGOUS PRODUCTS.—

“(a) IMPOSITION AND COLLECTION OF FEES.—The Secretary shall prescribe, adjust, and collect fees to cover the costs incurred by the Secretary for activities related to-

“(1) the review, issuance, and maintenance of licenses under this chapter for establishments that prepare viruses, serums, toxins, or analogous products for use in the treatment of domestic animals for sale, barter, exchange, or shipment; and

“(2) inspections conducted pursuant to chapter 5 of this title.

“(b) EXCEPTIONS.—The Secretary shall exempt any department, agency, or instrumentality of the United States from any fee prescribed under subsection (a).

“(c) ACCOUNT.—

“(1) ESTABLISHMENT.-There is established a Veterinary Biologics User Fee Account in the Treasury of the United States.

“(2) DEPOSITS.-The Secretary shall deposit into the account-

“(A) fees authorized to be collected under subsection (a); and

“(B) any associated late payment penalties, interest, and handling and processing charges collected pursuant to section 3717 of title 31, United States Code.

“(d) AVAILABILITY AND USE OF FUNDS.-The fees and other amounts deposited in the Veterinary Biologics User Fee Account established under subsection (c) shall be available upon collection, to remain available until expended.”

TITLE II – USER FEE FOR COMPLIANCE INSPECTIONS AND LICENSING AND REGISTRATION SERVICES PROVIDED UNDER THE ANIMAL WELFARE ACT

SEC. 201.-FUNDS FOR ADMINISTRATION OF ANIMAL WELFARE ACT

(a) User Fees Authorized.--Section 23 of the Animal Welfare Act (7 U.S.C. 2153) is amended to read as follows:

“SEC. 23. FEES AND AUTHORIZATION OF APPROPRIATIONS.—

“(a) AUTHORIZATION OF APPROPRIATIONS.— Except for the costs of activities supported by fees prescribed under subsection (b), there are authorized to be appropriated such sums as may be necessary to carry out this Act.

“(b) FEES.—

“(1) IMPOSITION AND COLLECTION OF FEES.—

“(A) IN GENERAL.-Except as provided in paragraph (3), the Secretary shall prescribe, adjust, and collect fees to cover the costs incurred by the Secretary for activities related to the review of applications for licenses or registrations under this Act, the review and maintenance of licenses or registrations issued under this Act, and inspections conducted pursuant to section 16.

“(B) EQUITABLE ASSESSMENT.-Such fees shall be adjusted on an equitable basis taking into consideration the type and nature of the operations to be licensed and registered.

“(2) PURPOSE.-The purpose of the fees authorized in this subsection shall be to cover the costs of inspections, licensing and registration services provided under this Act.

“(3) EXCEPTIONS.—The Secretary shall exempt any department, agency, or instrumentality of the United States from any fee prescribed under this section.

“(4) COLLECTION OF FEES.—

“(A) ACCOUNT.-There is established an Animal Welfare User Fee Account in the Treasury of the United States.

“(B) DEPOSITS.-Fees imposed under paragraph (1), as well as late payment penalties, interest, and handling and processing charges collected pursuant to section 3717 of title 31, United States Code, shall be collected by the Secretary and deposited in the account established in paragraph 4(A).

“(5) AVAILABILITY AND USE OF FUNDS.-The fees and other amounts deposited in the Animal Welfare User Fee Account established under paragraph 4(A) shall only be available to the extent and in the amount provided in advance in appropriation Acts, to remain available until expended.”

(b) Conforming Amendment.--Section 6 of the Animal Welfare Act (7 U.S.C. 2136) is amended by inserting “and upon payment of such fee established pursuant to 2153 of this title” at the end of the sentence.

TITLE III – USER FEE FOR BIOTECHNOLOGY REGULATORY SERVICES

SEC. 301.-USER FEE TO COVER THE COSTS OF PROVIDING SERVICES IN CONNECTION WITH THE REGULATION OF ORGANISMS AND PRODUCTS DERIVED THROUGH BIOTECHNOLOGY

The Food, Agriculture, Conservation, and Trade Act of 1990, Pub. L.101-624, 104 STAT. 3359 et seq. (1990) is amended by inserting a new section after section 2509 that reads as follows:

“SEC. 2509a.-Organisms and Products Derived Through Biotechnology.—

“(a) ESTABLISHMENT.—

(1) The Secretary shall prescribe, adjust, and collect fees to cover costs incurred by the Secretary for compliance management and inspection of and reviews related to the regulation of organisms and products derived through biotechnology.

“(b) COLLECTION OF FEES.—

“(1) ACCOUNT.-There is established a Biotechnology User Fee Account in the Treasury of the United States.

“(2) DEPOSITS.-The Secretary shall deposit into the account-

“(A) fees authorized to be collected under subsection (a); and

“(B) any associated late payment penalties, interest, and handling and processing charges collected pursuant to section 3717 of title 31, United States Code.

“(c) AVAILABILITY AND USE OF FUNDS.-The fees and other amounts deposited in the Biotechnology User Fee Account established under subsection (a) shall be available upon collection, to remain available until expended.”

Section-by-Section Analysis

Section 101: This section would allow the Secretary of Agriculture to collect user fees from certain establishments (other than Federal entities) that prepare viruses, serums, toxins, or analogous products for use in the treatment of domestic animals for sale, barter, exchange, or shipment. Money collected would be used to cover a portion of the cost of licensing and inspection services provided under the Virus-Serum-Toxin Act. Fees collected would be deposited in a Veterinary Biologics User Fee Account in the U.S. Treasury, and would remain available until expended.

Section 201: This section would allow the Secretary of Agriculture to collect user fees from persons (other than Federal entities) regulated by the Secretary under the Animal Welfare Act. Money collected would be used to cover the cost of compliance inspections and licensing and registration services provided under the Animal Welfare Act. Fees would be deposited in an Animal Welfare User Fee Account in the U.S. Treasury, and would be authorized to be appropriated, to remain available until expended. This legislation also would authorize appropriations for all other program activities related to carrying out the Animal Welfare Act.

Section 301: This section would allow the Secretary of Agriculture to collect user fees from persons that develop or produce organisms and products derived through biotechnology that are regulated by the Secretary. Money collected would be used to supplement current appropriations to cover the costs of providing services in connection with the regulation of organisms and products derived through biotechnology. Fees collected would be deposited in a Biotechnology User Fee Account in the U.S. Treasury, and would remain available until expended.